aid. Many economists argue Washington could do much more for Pakistan by modifying its trade policy to allow more Pakistani-made textiles to be sold in the United States. Some 60 percent of Pakistan's exports today consist of textiles, but far too few get into the American market because of high tariffs. The Atlantic Council notes that typical tariffs on Pakistan textiles in the United States are 11.4 percent, which is nearly three times the average rate of 4 percent.[33]

Musharraf pressed George W. Bush for free trade and tariff changes but did not get far. A new report published by Pakistan experts at the Council on Foreign Relations recommends that Obama and Congress aggressively pursue a free trade deal with Pakistan. This, it concludes, would have the largest impact on job creation, especially among women, and would help revitalize economic growth. Others have reached the same conclusion.[34]

With its acute energy shortfall, Pakistan's energy sector is also in desperate need of help. According to a Brookings colleague, the energy crisis has now reached a point where it "threatens this nuclear-armed nation's economic and political stability."[35] Small towns and villages are experiencing power outages lasting 20–22 hours a day, while large cities like Karachi, Lahore, Faisalabad, Peshawar, and Quetta are routinely without power for half of every day. Power demand is about 14,600 megawatts whereas supply is only at 10,200 megawatts.[36] Much could be done to improve supply by upgrading Pakistan's energy grid and infrastructure. Some energy support is expected from the United States, which in 2010 pledged $1 billion in aid for the sector. Hydropower traditionally accounts for a major part of Pakistan's energy production and should continue to be an important source, unless threatened by the nation's current water scarcity.

Pakistan also wants to produce energy through civilian nuclear power plants. At the top of its agenda is a civilian nuclear power deal like the one George W. Bush negotiated for India and Obama supported as a senator. Understandably, this proposal has met with very strong opposition in the United States and in other members of the International Atomic Energy Agency (IAEA) and the Nuclear Suppliers Group (NSG), which would have to approve any such deal. It was difficult enough to get the India deal through Congress, the IAEA, and NSG. Moreover India has a virtually spotless record of not selling its nuclear technology to other countries.